



Bill Number: H.B. 2398

Mesnard ADD COW Floor Amendment

Reference to: Senate engrossed House bill

Amendment drafted by: Leg. Council

FLOOR AMENDMENT EXPLANATION

1. Clarifies the types of insurers from which a peer-to-peer watercraft sharing program may obtain a primary commercial boat liability insurance policy.
2. Makes technical changes.

ADDITIONAL COW
MESNARD FLOOR AMENDMENT
SENATE AMENDMENTS TO H.B. 2398
(Reference to Senate engrossed House bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.

[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 5-301, Arizona Revised Statutes, is amended to
3 read:

4 5-301. Definitions

5 In this chapter, unless the context otherwise requires:

6 1. "BOAT LIVERY" MEANS A BUSINESS THAT RENTS, LEASES OR CHARTERS A
7 MOTORIZED WATERCRAFT, A PERSONAL WATERCRAFT OR ANY OTHER WATERCRAFT TO THE
8 GENERAL PUBLIC FOR NONCOMMERCIAL, RECREATIONAL USE.

9 ~~1.~~ 2. "Commercial motorized watercraft" means a motorized
10 watercraft that carries passengers or property for a valuable
11 consideration that is paid to the owner, charterer, operator or agent or
12 to any other person interested in the watercraft.

13 ~~2.~~ 3. "Commission" means the Arizona game and fish commission.

14 ~~3.~~ 4. "Department" means the Arizona game and fish department.

15 ~~4.~~ 5. "Documented watercraft" means any watercraft currently
16 registered as a watercraft of the United States pursuant to 46 Code of
17 Federal Regulations part 67.

18 ~~5.~~ 6. "Domicile" means a person's true, fixed and permanent home
19 and principal residence, proof of which may be demonstrated as prescribed
20 by rules adopted by the commission.

21 ~~6.~~ 7. "Launch" means any motorized watercraft that carries a coach
22 and that is used to follow and monitor rowing shells during practice,
23 training or competitive rowing events.

24 ~~7.~~ 8. "Motorboat" means any watercraft that is not more than
25 sixty-five feet in length and that is propelled by machinery whether or
26 not such machinery is the principal source of propulsion.

1 ~~8.~~ 9. "Motorized watercraft" means any watercraft that is
2 propelled by machinery whether or not the machinery is the principal
3 source of propulsion.

4 ~~9.~~ 10. "Nonresident" means a citizen of the United States or an
5 alien person who is not domiciled in this state and who is not a resident
6 as defined in this section.

7 ~~10.~~ 11. "Operate" means to operate or be in actual physical
8 control of a watercraft while on public waters.

9 ~~11.~~ 12. "Operator" means a person who operates or is in actual
10 physical control of a watercraft.

11 ~~12.~~ 13. "Person" includes any individual, firm, corporation,
12 partnership or association, and any agent, assignee, trustee, executor,
13 receiver or representative thereof.

14 14. "PERSONAL WATERCRAFT" MEANS A WATERCRAFT THAT IS ALL OF THE
15 FOLLOWING:

16 (a) LESS THAN SIXTEEN FEET LONG.

17 (b) PROPELLED BY MACHINERY POWERING A ~~[WATER-JET]~~[WATER-JET] PUMP.

18 (c) DESIGNED TO BE OPERATED BY A PERSON WHO SITS, STANDS OR KNEELS
19 ON THE WATERCRAFT RATHER THAN SITTING OR STANDING INSIDE THE WATERCRAFT.

20 ~~13.~~ 15. "Public waters" means any body of water that is publicly
21 owned or that the public is allowed to use without permission of the owner
22 AND on which a motorized watercraft can be navigated, including that part
23 of waters that is common to interstate boundaries and that is within the
24 boundaries of this state.

25 ~~14.~~ 16. "Resident" means a person who is either:

26 (a) A member of the armed forces of the United States on active
27 duty and stationed in this state for a period of thirty days immediately
28 before the date of application for a watercraft decal.

29 (b) A member of the armed forces of the United States on active
30 duty and stationed in another state or another country and who lists this
31 state as that member's home of record at the time of an application for a
32 watercraft decal.

33 (c) Domiciled in this state for at least six consecutive months
34 immediately before the date of the application for a watercraft decal and
35 who does not claim residency for any purpose in any other state or
36 country.

37 ~~15.~~ 17. "Revocation" means invalidating the certificate of number,
38 numbers and annual validation decals issued by the department to a
39 watercraft and prohibiting the operation of the watercraft on the waters
40 of this state during a period of noncompliance with this chapter.

41 ~~16.~~ 18. "Rowing shell" means a manually propelled watercraft that
42 is recognized by a national racing association for use in practice,
43 training or competitive rowing.

44 ~~17.~~ 19. "Sailboard" means any board of less than fifteen feet in
45 length that is designed to be propelled by wind action on a sail for
46 navigation on the water by a person operating the board.

1 ~~18.~~ 20. "Special anchorage area" means an area set aside and under
2 the control of a federal, state or local governmental agency, or by a duly
3 authorized marina operator or concessionaire for the mooring, anchoring or
4 docking of watercraft.

5 ~~19.~~ 21. "State of principal operation" means the state where a
6 watercraft is primarily used, navigated or employed.

7 ~~20.~~ 22. "Underway" means a watercraft that is not at anchor, is
8 not made fast to the shore or is not aground.

9 ~~21.~~ 23. "Undocumented watercraft" means any watercraft that does
10 not have and is not required to have a valid marine document as a
11 watercraft of the United States.

12 ~~22.~~ 24. "Wakeless speed" means a speed that does not cause the
13 watercraft to create a wake, but in no case in excess of five miles per
14 hour.

15 ~~23.~~ 25. "Watercraft" means any boat designed to be propelled by
16 machinery, oars, paddles or wind action on a sail for navigation on the
17 water, or as may be defined by rule of the commission.

18 ~~24.~~ 26. "Waterway" means any body of water, public or private, on
19 which a watercraft can be navigated.

20 Sec. 2. Title 5, chapter 3, article 5, Arizona Revised Statutes, is
21 amended by adding sections 5-342 and 5-342.01, to read:

22 5-342. Watercraft; insurance responsibility requirements;
23 required limits; violation; classification;
24 applicability; definition

25 A. NOTWITHSTANDING ANY OTHER LAW, AN OWNER OF A WATERCRAFT WHO
26 PROVIDES A WATERCRAFT FOR RENT OR CHARTER IN THIS STATE SHALL MAINTAIN A
27 COMMERCIAL BOAT LIABILITY POLICY OR A PERSONAL LINES BOAT POLICY WITH A
28 SPECIFIED COMMERCIAL OR CHARTER BOAT LIABILITY COVERAGE ENDORSEMENT.

29 B. AN OWNER'S COMMERCIAL BOAT LIABILITY POLICY OR PERSONAL LINES
30 BOAT POLICY WITH A SPECIFIED COMMERCIAL OR CHARTER BOAT LIABILITY COVERAGE
31 ENDORSEMENT SHALL PROVIDE PRIMARY BOAT LIABILITY INSURANCE COVERAGE AS
32 FOLLOWS:

33 1. \$25,000 BECAUSE OF BODILY INJURY TO OR DEATH OF ONE PERSON IN
34 ANY ONE ACCIDENT.

35 2. SUBJECT TO THE LIMIT FOR ONE PERSON, \$50,000 BECAUSE OF BODILY
36 INJURY TO OR DEATH OF TWO OR MORE PERSONS IN ANY ONE ACCIDENT.

37 3. \$20,000 BECAUSE OF INJURY TO OR DESTRUCTION OF PROPERTY OF
38 OTHERS IN ANY ONE ACCIDENT.

39 C. THE OWNER OF A WATERCRAFT WHO PROVIDES A WATERCRAFT FOR RENT OR
40 CHARTER IN THIS STATE SHALL MAINTAIN AT ALL TIMES THE AMOUNTS PRESCRIBED
41 IN SUBSECTION B OF THIS SECTION FOR INJURIES TO PERSONS AND FOR LOSS OR
42 DAMAGE TO PROPERTY BY REASON OF THE RENTAL OR OPERATION OF THE WATERCRAFT
43 THAT IS PROVIDED BY THE OWNER OF THE WATERCRAFT FOR RENT OR CHARTER.

44 D. THE COMMISSION MAY REQUIRE AN OWNER OF A WATERCRAFT WHO IS
45 SUBJECT TO THE INSURANCE RESPONSIBILITY REQUIREMENTS OF THIS SECTION TO
46 CERTIFY THE EXISTENCE OF INSURANCE RESPONSIBILITY IN THE FORM AND AT THE
47 TIME THE COMMISSION DEEMS NECESSARY. THE COMMISSION MAY FORWARD THE

1 CERTIFICATION TO THE NAMED INSURER TO DETERMINE IF THE CERTIFICATION IS
2 CORRECT. CIVIL LIABILITY DOES NOT ACCRUE TO THE INSURER OR ANY OF ITS
3 EMPLOYEES FOR REPORTS MADE TO THE COMMISSION IF THE REPORTS ARE MADE IN
4 GOOD FAITH BASED ON THE MOST RECENT INFORMATION AVAILABLE TO THE INSURER.

5 E. AN OWNER OF A WATERCRAFT WHO RENTS OR CHARTERS A WATERCRAFT IN
6 THIS STATE WITHOUT MEETING THE INSURANCE RESPONSIBILITY REQUIREMENTS OF
7 THIS SECTION IS GUILTY OF:

8 1. A CLASS 3 MISDEMEANOR.

9 2. A CLASS 1 MISDEMEANOR IF THE WATERCRAFT IS INVOLVED IN AN
10 ACCIDENT IN THIS STATE.

11 F. THIS SECTION DOES NOT APPLY TO THE OWNER OF A WATERCRAFT WHO
12 PROVIDES A WATERCRAFT FOR RENT OR CHARTER IN THIS STATE FEWER THAN FOUR
13 TIMES IN A CALENDAR YEAR.

14 G. FOR THE PURPOSES OF THIS SECTION, "WATERCRAFT FOR RENT":

15 1. MEANS THE TRANSFER OF POSSESSION AND USE OF A WATERCRAFT TO A
16 PERSON OTHER THAN THE WATERCRAFT'S OWNER FOR A DEFINED PERIOD OF TIME IN
17 EXCHANGE FOR A FEE AND THE OWNER OF THE WATERCRAFT IS NOT PRESENT ON THE
18 WATERCRAFT DURING THE DEFINED PERIOD OF TIME.

19 2. DOES NOT INCLUDE A WATERCRAFT THAT IS AVAILABLE FOR RENT THROUGH
20 A PEER-TO-PEER WATERCRAFT SHARING PROGRAM PURSUANT TO ARTICLE 8.1 OF THIS
21 CHAPTER.

22 5-342.01. Commercial boat liability insurance; no mandatory
23 offer; definition

24 A. NOTWITHSTANDING ANY OTHER LAW, AN INSURER THAT IS AUTHORIZED TO
25 TRANSACT INSURANCE IN THIS STATE IS NOT REQUIRED TO OFFER, ISSUE, RENEW OR
26 PROVIDE A COMMERCIAL BOAT LIABILITY POLICY.

27 B. THIS SECTION DOES NOT PROHIBIT AN INSURER FROM VOLUNTARILY
28 OFFERING OR PROVIDING A COMMERCIAL BOAT LIABILITY POLICY PURSUANT TO THE
29 INSURER'S UNDERWRITING STANDARDS AND RISK SELECTION.

30 C. FOR THE PURPOSES OF THIS SECTION, "COMMERCIAL BOAT LIABILITY
31 POLICY" MEANS LIABILITY INSURANCE COVERAGE THAT IS DESCRIBED IN SECTION
32 20-255 AND THAT IS ISSUED IN CONNECTION WITH A WATERCRAFT THAT IS USED
33 PRIMARILY FOR COMMERCIAL, FOR-HIRE, RENTAL, CHARTER OR BUSINESS PURPOSES.

34 Sec. 3. Section 5-350, Arizona Revised Statutes, is amended to
35 read:

36 5-350. Personal watercraft; requirements for operation;
37 applicability

38 A. A person shall not operate a personal watercraft unless each
39 person aboard is wearing a wearable personal flotation device that is
40 approved by the United States coast guard.

41 B. A person who operates a personal watercraft that is equipped by
42 the manufacturer with a lanyard type engine cutoff switch shall attach the
43 lanyard to his body, clothing or personal flotation device as appropriate
44 for the specific watercraft.

45 C. A person shall not operate or knowingly allow another person to
46 operate a personal watercraft under ~~his~~ THE PERSON'S ownership or control
47 in a reckless or negligent manner endangering the life or property of

1 another person. Prima facie evidence of reckless operation exists if the
2 person commits two or more of the following acts simultaneously:

3 1. Operates the personal watercraft within a zone of proximity to
4 another watercraft closer than sixty feet unless both are leaving a flat
5 wake or are traveling at a speed of five nautical miles per hour or less.

6 2. Operates the personal watercraft within the vicinity of a
7 motorboat in a manner that obstructs the visibility of either operator.

8 3. Heads into the wake of a motorboat that is within a zone of
9 proximity closer than sixty feet and causes one-half or more of the length
10 of the personal watercraft to leave the water.

11 4. Within a zone of proximity to another watercraft closer than
12 sixty feet, maneuvers quickly, turns sharply or swerves, unless the
13 maneuver is necessary to avoid a collision.

14 D. If equipped by the manufacturer, a person shall not operate a
15 personal watercraft without a functioning spring-loaded throttle mechanism
16 that immediately returns the engine to an idle speed on release of the
17 operator's hand from the control or without any other engine cutoff
18 feature that is installed by the manufacturer.

19 E. A personal watercraft shall not be loaded and operated with
20 passengers or cargo beyond its safe carrying capacity or the
21 manufacturer's recommended limits.

22 F. A person who owns, leases or hires a personal watercraft or who
23 has charge or control over a personal watercraft shall not authorize or
24 knowingly ~~permit~~ ALLOW the personal watercraft to be operated in violation
25 of this section.

26 G. This section does not apply to a performer who engages in a
27 professional exhibition or to a person who participates in an officially
28 sanctioned regatta, race, marine parade, tournament or exhibition.

29 ~~H. For purposes of this section, "personal watercraft" means a~~
30 ~~watercraft that is less than sixteen feet long, propelled by machinery~~
31 ~~powering a water jet pump and designed to be operated by a person who~~
32 ~~sits, stands or kneels on rather than sitting or standing inside the~~
33 ~~watercraft.~~

34 Sec. 4. Section 5-371, Arizona Revised Statutes, is amended to
35 read:

36 5-371. Boat liveries; requirements; insurance requirements;
37 required limits; violation; classification

38 A. The owner of a boat livery shall keep or cause to be kept a
39 record of the name and address of the person or persons hiring any
40 watercraft ~~which~~ THAT is designed or ~~permitted~~ ALLOWED by ~~him~~ THE OWNER to
41 be operated as a watercraft, the identification number ~~thereof~~ OF THE
42 WATERCRAFT, the departure date and time and the expected and actual time
43 of return. Such record shall be preserved for at least three months.

44 B. Neither the owner of a boat livery nor ~~his~~ THE OWNER'S agent or
45 employee shall ~~permit~~ ALLOW any watercraft to be operated from ~~his~~ THE
46 OWNER'S premises unless it shall have been provided, either by the owner
47 or renter, with the equipment required by this chapter.

1 C. The certificate of number for a watercraft less than twenty-six
2 feet in length that is leased or rented to a person for noncommercial use
3 of less than twenty-four hours may be retained on shore by the owner or
4 ~~his~~ THE OWNER'S representative at the place from which the watercraft
5 departs or returns to the possession of the owner or ~~his~~ THE OWNER'S
6 representative. A watercraft ~~which~~ THAT does not have the certificate of
7 number on board shall be identified while in use as may be prescribed by
8 the regulations of the commission.

9 D. THE OWNER OF A BOAT LIVERY SHALL MAINTAIN A COMMERCIAL BOAT
10 LIABILITY POLICY FOR PERSONS WHO HIRE A WATERCRAFT FOR USE ON A WATERWAY
11 IN THIS STATE. THIS LIABILITY COVERAGE SHALL BE IN EFFECT AT ANY TIME
12 THAT THE WATERCRAFT IS OPERATED ON A WATERWAY IN THIS STATE.

13 E. A BOAT LIVERY OWNER'S COMMERCIAL BOAT LIABILITY POLICY SHALL
14 PROVIDE PRIMARY BOAT LIABILITY INSURANCE COVERAGE AS FOLLOWS:

15 1. \$25,000 BECAUSE OF BODILY INJURY TO OR THE DEATH OF ONE PERSON
16 IN ANY ONE ACCIDENT.

17 2. SUBJECT TO THE LIMIT FOR ONE PERSON, \$50,000 BECAUSE OF BODILY
18 INJURY TO OR THE DEATH OF TWO OR MORE PERSONS IN ANY ONE ACCIDENT.

19 3. \$20,000 BECAUSE OF INJURY TO OR DESTRUCTION OF PROPERTY OF
20 OTHERS IN ANY ONE ACCIDENT.

21 F. THE OWNER OF A BOAT LIVERY SHALL MAINTAIN AT ALL TIMES THE
22 AMOUNTS PRESCRIBED IN SUBSECTION E OF THIS SECTION.

23 G. THE COMMISSION MAY REQUIRE THE OWNER OF A BOAT LIVERY THAT IS
24 SUBJECT TO THE INSURANCE RESPONSIBILITY REQUIREMENTS OF THIS SECTION TO
25 CERTIFY THE EXISTENCE OF INSURANCE RESPONSIBILITY IN THE FORM AND AT THE
26 TIME THE COMMISSION DEEMS NECESSARY. THE COMMISSION MAY FORWARD THE
27 CERTIFICATION TO THE NAMED INSURER TO DETERMINE WHETHER THE CERTIFICATION
28 IS CORRECT. CIVIL LIABILITY DOES NOT ACCRUE TO THE INSURER OR ANY OF ITS
29 EMPLOYEES FOR REPORTS MADE TO THE COMMISSION IF THE REPORTS ARE MADE IN
30 GOOD FAITH AND ARE BASED ON THE MOST RECENT INFORMATION AVAILABLE TO THE
31 INSURER.

32 H. THE OWNER OF A BOAT LIVERY THAT CAUSES A WATERCRAFT TO BE
33 OPERATED ON A WATERWAY IN THIS STATE WITHOUT MEETING THE INSURANCE
34 RESPONSIBILITY REQUIREMENTS OF THIS SECTION IS GUILTY OF:

35 1. A CLASS 3 MISDEMEANOR.

36 2. A CLASS 1 MISDEMEANOR IF THE WATERCRAFT IS INVOLVED IN AN
37 ACCIDENT IN THIS STATE.

38 Sec. 5. Title 5, chapter 3, Arizona Revised Statutes, is amended by
39 adding article 8.1, to read:

40 ARTICLE 8.1. PEER-TO-PEER WATERCRAFT SHARING

41 5-385. Definitions

42 IN THIS ARTICLE, UNLESS THE CONTEXT OTHERWISE REQUIRES:

43 1. "PEER-TO-PEER WATERCRAFT SHARING" MEANS THE AUTHORIZED USE OF A
44 SHARED WATERCRAFT THROUGH A PEER-TO-PEER WATERCRAFT SHARING PROGRAM BY AN
45 INDIVIDUAL OTHER THAN THE SHARED WATERCRAFT OWNER.

46 2. "PEER-TO-PEER WATERCRAFT SHARING PROGRAM":

1 (a) MEANS A BUSINESS PLATFORM THAT CONNECTS WATERCRAFT OWNERS WITH
2 WATERCRAFT OPERATORS TO ENABLE THE SHARING OF WATERCRAFT FOR FINANCIAL
3 CONSIDERATION.

4 (b) DOES NOT INCLUDE:

5 (i) A BOAT LIVERY.

6 (ii) COMMERCIAL MOTORIZED WATERCRAFT.

7 3. "SHARED WATERCRAFT":

8 (a) MEANS A WATERCRAFT THAT IS AVAILABLE FOR SHARING THROUGH A
9 PEER-TO-PEER WATERCRAFT SHARING PROGRAM.

10 (b) DOES NOT INCLUDE:

11 (i) COMMERCIAL MOTORIZED WATERCRAFT.

12 (ii) A WATERCRAFT THAT IS OWNED BY A BOAT LIVERY AND THAT IS MADE
13 AVAILABLE FOR RENT OR USE IN THIS STATE.

14 4. "SHARED WATERCRAFT OPERATOR" MEANS AN INDIVIDUAL WHO HAS BEEN
15 AUTHORIZED TO OPERATE A SHARED WATERCRAFT BY THE SHARED WATERCRAFT OWNER
16 PURSUANT TO A SHARED WATERCRAFT TRANSACTION.

17 5. "SHARED WATERCRAFT OWNER" MEANS THE REGISTERED OWNER OF A
18 WATERCRAFT THAT IS MADE AVAILABLE FOR SHARING TO A SHARED WATERCRAFT
19 OPERATOR THROUGH A PEER-TO-PEER WATERCRAFT SHARING PROGRAM.

20 6. "SHARED WATERCRAFT TRANSACTION" MEANS THE AUTHORIZED USE OF A
21 SHARED WATERCRAFT BY AN INDIVIDUAL OTHER THAN THE SHARED WATERCRAFT OWNER
22 THROUGH A PEER-TO-PEER WATERCRAFT SHARING PROGRAM.

23 7. "WATERCRAFT SHARING PERIOD" MEANS THE PERIOD OF TIME THAT BEGINS
24 WITH THE WATERCRAFT SHARING START TIME AND ENDS AT THE WATERCRAFT SHARING
25 TERMINATION TIME.

26 8. "WATERCRAFT SHARING START TIME" MEANS THE TIME WHEN A SHARED
27 WATERCRAFT BECOMES SUBJECT TO THE CONTROL OF THE SHARED WATERCRAFT
28 OPERATOR AT OR AFTER THE TIME THAT THE RESERVATION OF THE SHARED
29 WATERCRAFT IS SCHEDULED TO BEGIN AS DOCUMENTED IN THE RECORDS OF A
30 PEER-TO-PEER WATERCRAFT SHARING PROGRAM.

31 9. "WATERCRAFT SHARING TERMINATION TIME" MEANS THE EARLIEST OF THE
32 FOLLOWING:

33 (a) THE EXPIRATION OF THE AGREED PERIOD OF TIME ESTABLISHED FOR THE
34 USE OF A SHARED WATERCRAFT IN THE SHARED WATERCRAFT TRANSACTION AND THE
35 SHARED WATERCRAFT IS DELIVERED TO THE LOCATION THAT IS SPECIFIED IN THE
36 SHARED WATERCRAFT TRANSACTION.

37 (b) WHEN THE SHARED WATERCRAFT IS RETURNED TO A LOCATION AS
38 ALTERNATIVELY AGREED TO BY THE SHARED WATERCRAFT OWNER AND THE SHARED
39 WATERCRAFT OPERATOR AS ESTABLISHED THROUGH A PEER-TO-PEER WATERCRAFT
40 SHARING PROGRAM.

41 (c) WHEN THE SHARED WATERCRAFT OWNER OR A DESIGNEE OF THE SHARED
42 WATERCRAFT OWNER TAKES POSSESSION AND CONTROL OF THE SHARED WATERCRAFT.

43 5-386. Insurance requirements; information sharing;
44 recordkeeping; liability; indemnification

45 A. A PEER-TO-PEER WATERCRAFT SHARING PROGRAM SHALL MAINTAIN A
46 PRIMARY COMMERCIAL BOAT LIABILITY INSURANCE POLICY THAT PROVIDES COVERAGE
47 FOR BODILY INJURY OR PROPERTY DAMAGE THAT OCCURS DURING THE WATERCRAFT

1 SHARING PERIOD IN AN AMOUNT THAT IS STATED IN THE SHARED WATERCRAFT
2 TRANSACTION AND THAT IS NOT LESS THAN:

3 1. \$25,000 BECAUSE OF BODILY INJURY TO OR DEATH OF ONE PERSON IN
4 ANY ONE ACCIDENT.

5 2. SUBJECT TO THE LIMIT FOR ONE PERSON, \$50,000 BECAUSE OF BODILY
6 INJURY TO OR DEATH OF TWO OR MORE PERSONS IN ANY ONE ACCIDENT.

7 3. \$20,000 BECAUSE OF INJURY TO OR DESTRUCTION OF PROPERTY OF
8 OTHERS IN ANY ONE ACCIDENT.

9 B. A PEER-TO-PEER WATERCRAFT SHARING PROGRAM SHALL ENSURE THAT THE
10 COMMERCIAL LIABILITY INSURANCE POLICY THAT PROVIDES INSURANCE COVERAGE AND
11 THAT IS REQUIRED BY THIS SECTION MEETS BOTH OF THE FOLLOWING REQUIREMENTS:

12 1. RECOGNIZES THAT THE WATERCRAFT THAT IS INSURED UNDER THE POLICY
13 IS MADE AVAILABLE AND USED THROUGH THE PEER-TO-PEER WATERCRAFT SHARING
14 PROGRAM.

15 2. DOES NOT EXCLUDE THE USE OF A SHARED WATERCRAFT BY A SHARED
16 WATERCRAFT OPERATOR.

17 C. A PEER-TO-PEER WATERCRAFT SHARING PROGRAM SHALL PROVIDE PROOF OF
18 INSURANCE TO THE SHARED WATERCRAFT OPERATOR BEFORE THE WATERCRAFT SHARING
19 START TIME. IF AN ACCIDENT OCCURS DURING THE WATERCRAFT SHARING PERIOD,
20 THE SHARED WATERCRAFT OPERATOR AND THE PEER-TO-PEER WATERCRAFT SHARING
21 PROGRAM SHALL PROVIDE PROOF OF INSURANCE AT THE TIME OF THE ACCIDENT TO
22 THE PARTIES INVOLVED IN THE ACCIDENT.

23 D. A PEER-TO-PEER WATERCRAFT SHARING PROGRAM SHALL COLLECT AND
24 VERIFY RECORDS RELATING TO THE USE OF A SHARED WATERCRAFT, INCLUDING TIMES
25 USED, FEES PAID BY THE SHARED WATERCRAFT OPERATOR AND MONIES RECEIVED BY
26 THE SHARED WATERCRAFT OWNER. THE PEER-TO-PEER WATERCRAFT SHARING PROGRAM
27 SHALL RETAIN THESE RECORDS FOR AT LEAST SIX YEARS AFTER THE TERMINATION OF
28 A SHARED WATERCRAFT TRANSACTION.

29 E. IN AN INSURANCE CLAIM INVESTIGATION, THE PEER-TO-PEER WATERCRAFT
30 SHARING PROGRAM AND ANY INSURER THAT PROVIDES THE INSURANCE COVERAGE
31 REQUIRED BY THIS SECTION SHALL FULLY COOPERATE WITH ALL OTHER PARTIES
32 INVOLVED IN THE CLAIM. IN AN INSURANCE CLAIM INVESTIGATION, BOTH OF THE
33 FOLLOWING APPLY:

34 1. THE PEER-TO-PEER WATERCRAFT SHARING PROGRAM SHALL PROVIDE TO ANY
35 INTERESTED PARTY THE RECORDS REQUIRED BY SUBSECTION D OF THIS SECTION.

36 2. ANY INSURER THAT PROVIDES THE INSURANCE COVERAGE REQUIRED BY
37 THIS SECTION SHALL PROVIDE A CLEAR DESCRIPTION OF THE COVERAGE AFFORDED,
38 ANY EXCLUSIONS FROM THE COVERAGE AND THE LIMITS OF THE COVERAGE PROVIDED
39 UNDER THE INSURANCE POLICY.

40 F. NOTWITHSTANDING ANY OTHER LAW, THIS SECTION DOES NOT PROHIBIT A
41 PEER-TO-PEER WATERCRAFT SHARING PROGRAM FROM RECOVERING THE PEER-TO-PEER
42 WATERCRAFT SHARING PROGRAM'S INSURANCE COSTS THAT ARE INCURRED IN
43 SATISFYING THE PEER-TO-PEER WATERCRAFT SHARING PROGRAM'S OBLIGATIONS
44 PURSUANT TO THIS SECTION FROM A SHARED WATERCRAFT OWNER OR SHARED
45 WATERCRAFT OPERATOR.

1 G. THIS SECTION DOES NOT LIMIT EITHER OF THE FOLLOWING:

2 1. THE LIABILITY OF A PEER-TO-PEER WATERCRAFT SHARING PROGRAM FOR
3 ANY ACT OR OMISSION OF THE PEER-TO-PEER WATERCRAFT SHARING PROGRAM THAT
4 RESULTS IN INJURY TO ANY PERSON AS A RESULT OF THE USE OF A SHARED
5 WATERCRAFT THROUGH A SHARED WATERCRAFT TRANSACTION.

6 2. THE ABILITY OF THE PEER-TO-PEER WATERCRAFT SHARING PROGRAM, BY
7 CONTRACT, TO SEEK INDEMNIFICATION FROM THE SHARED WATERCRAFT OWNER OR THE
8 SHARED WATERCRAFT OPERATOR FOR ECONOMIC LOSS THAT IS SUSTAINED BY THE
9 PEER-TO-PEER WATERCRAFT SHARING PROGRAM AND THAT RESULTS FROM A BREACH OF
10 THE TERMS AND CONDITIONS OF THE SHARED WATERCRAFT TRANSACTION.

11 H. AN INSURANCE POLICY REQUIRED BY THIS SECTION MAY BE OBTAINED
12 FROM AN INSURER AUTHORIZED TO TRANSACT INSURANCE IN THIS STATE PURSUANT TO
13 TITLE 20, CHAPTER 2, ARTICLE 1~~[.]~~ ~~[OR] A [SURPLUS LINES INSURER OR]~~
14 DOMESTIC SURPLUS LINES INSURER AUTHORIZED TO ISSUE INSURANCE COVERAGE IN
15 THIS STATE ~~[OR A SURPLUS LINES INSURER]~~ PURSUANT TO TITLE 20, CHAPTER 2,
16 ARTICLE 5.

17 Enroll and engross to conform

18 Amend title to conform

J.D. MESNARD

2398FloorMESNARD2.docx

06/09/2026

3:32 PM

C: LAT

130HAZVNX